

Circular Details	GC 149 / 27 May 2020 / A701633
Who should read this	Councillors / General Managers / Finance Managers
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Action required	Information

2020-21 Financial Assistance Grants (FAGs) – advance payment

- The Deputy Prime Minister, Minister for Infrastructure, Transport and Regional Development, the Hon. Michael McCormack MP and Commonwealth Minister for Regional Health, Regional Communications and Commonwealth Government, the Hon. Mark Coulton MP, have announced that the Federal Government will again bring forward the first two instalments of the estimated 2020-21 FAGs.
- The advance payment will represent approximately 50% of the amount council is entitled to. Further adjustments will need to be made to the remaining payments to take into account:
 1. the determination by the Commonwealth Treasurer of the final adjustments for 2019-20
 2. the Grants Commission's recommendations for 2020-21.
- The Commission is currently finalising the 2020-21 FAGs and will advise councils of the outcome when the grant recommendations have been adopted.
- The Commonwealth Government has advised that the FAGs processes are continuing “business as usual” and payments will proceed as normal.

What this will mean for your council

- The advance payment amount, as set out in the attached schedule, was paid to councils on 26 May 2020.
- The balance of the grants will be paid with a corresponding reduction to the quarterly instalments during 2020-21.
- The first quarterly instalment is expected to be paid to councils in mid-August 2020, with subsequent instalments in November 2020, February 2021 and May 2021.
- All councils will be advised by letter of individual councils’ estimated entitlements for 2020-21 FAGs.

Key points

- The grants are paid under the provisions of the *Local Government (Financial Assistance) Act 1995* (Cwlth).

Where to go for further information

- Updates about the transition and general information are available on the Office of Local Government Website:
<https://www.olg.nsw.gov.au/commissions-and-tribunals/grants-commission>
- Please contact Helen Pearce, Executive Officer, if you require any further information.



Helen Pearce
Executive Officer
Grants Commission